Revenue Is Only Part of the Margin Story

Executive summary

Headline performance appears positive: the dataset reports revenue of **12.64 million**, profit of **1.47 million**, and an overall profit margin of **11.61%**. Taken alone, those figures suggest a commercially healthy position. The operational detail presents a less settled picture.

Around **7.66% of orders are associated with a return record**, while **78.10% of orders contain at least one identified exception**: a discount, a high shipping-cost line, or a negative-profit line. The market-level view also shows that exception volumes rise broadly with order volume, which means the problem is not confined to one part of the business. It is built into a significant proportion of everyday trading activity.

The analysis does not prove that every exception represents avoidable loss. Some discounts may be commercially justified, some shipping costs may protect valuable sales, and some low-margin orders may support wider customer relationships. It does show that reported revenue alone is not enough to explain commercial performance.

The next step is therefore not simply to produce a more detailed sales dashboard. It is to connect each exception to its operational cause, commercial purpose and financial outcome. Until that link is visible, the business can see where margin pressure appears, but not yet which parts are necessary, preventable or worth acting on.

Conclusion

The analysis shows that positive revenue and profit totals can coexist with widespread operational exceptions.

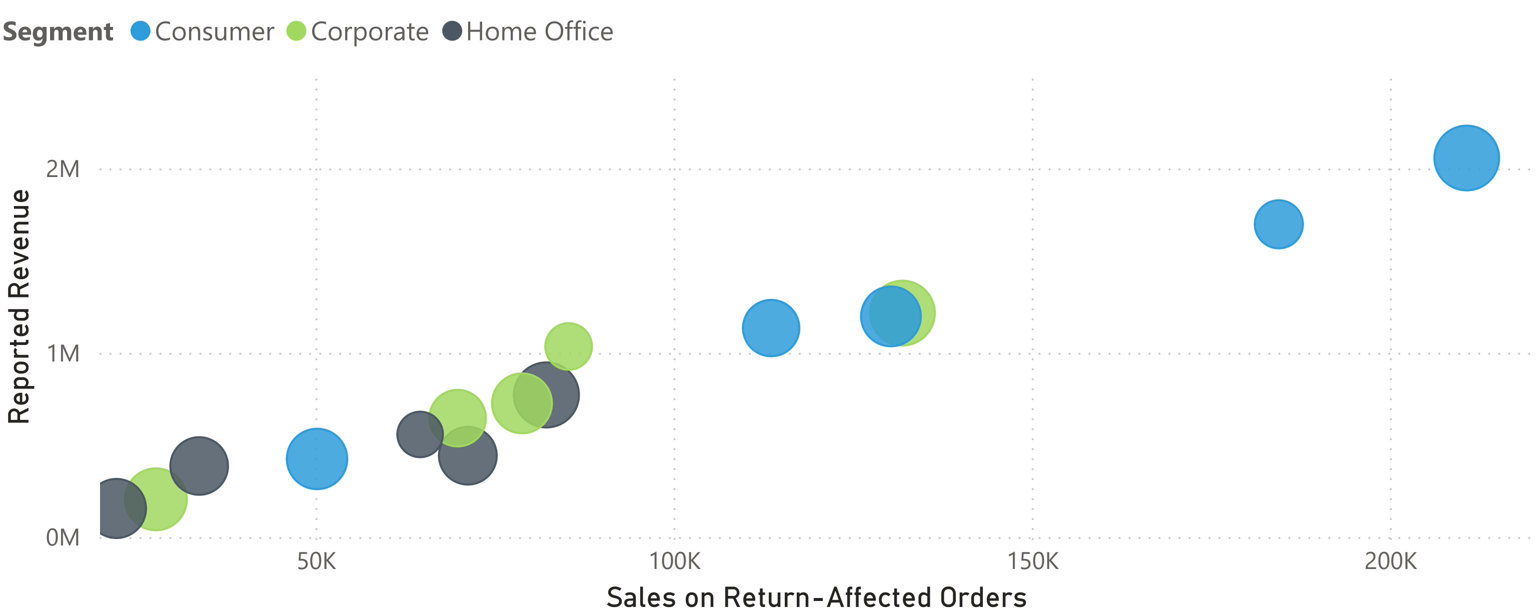
The immediate priority is not to remove every discount, return or high-cost shipment. It is to distinguish the exceptions that support the business from those that quietly weaken it.

Revenue tells us that the order happened. The operational detail tells us whether it was worth having.

12.64M Reported Revenue	1.47M Reported Profit	11.61% Profit Margin %	2K Return Record Count	7.66% Return-Affected Order Rate %	78.10% Order Exception Rate %

An order is counted as exception-affected where it contains a discount, high shipping-cost line or negative-profit line.

Revenue and retun exposure by market and segment



Source: https://www.kaggle.com/datasets/rohitgrewal/global-superstore-data

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Business question

Which products, customers, regions and order types appear profitable at headline level, but become low-margin or loss-making once discounts, shipping costs, returns and other operational exceptions are taken into account?

Supporting questions include:

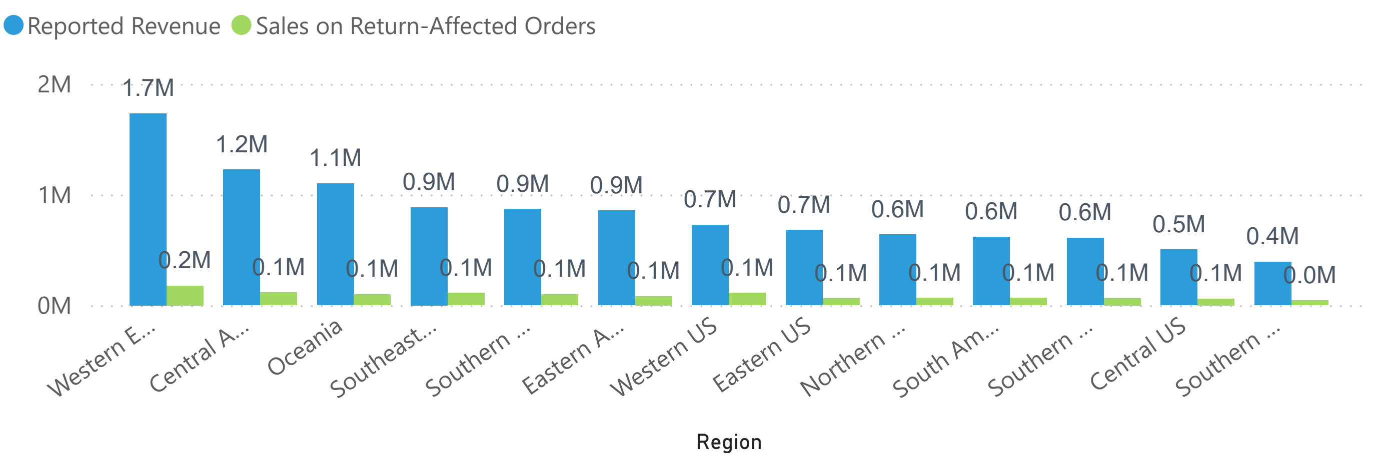
- Which exception types are most strongly associated with negative-profit orders?
- Where are discounts being used deliberately, and where have they become routine?
- Which customers or product groups generate revenue but repeatedly carry weak margins?
- Are high shipping costs caused by service promises, order size, product characteristics or process decisions?
- Which return-affected orders can be traced to particular products, quantities and reasons?
- Are the same exceptions recurring in particular markets, teams or transaction types?

These questions move the discussion from **how much was sold** to **what the business retained from the sale, and why**.

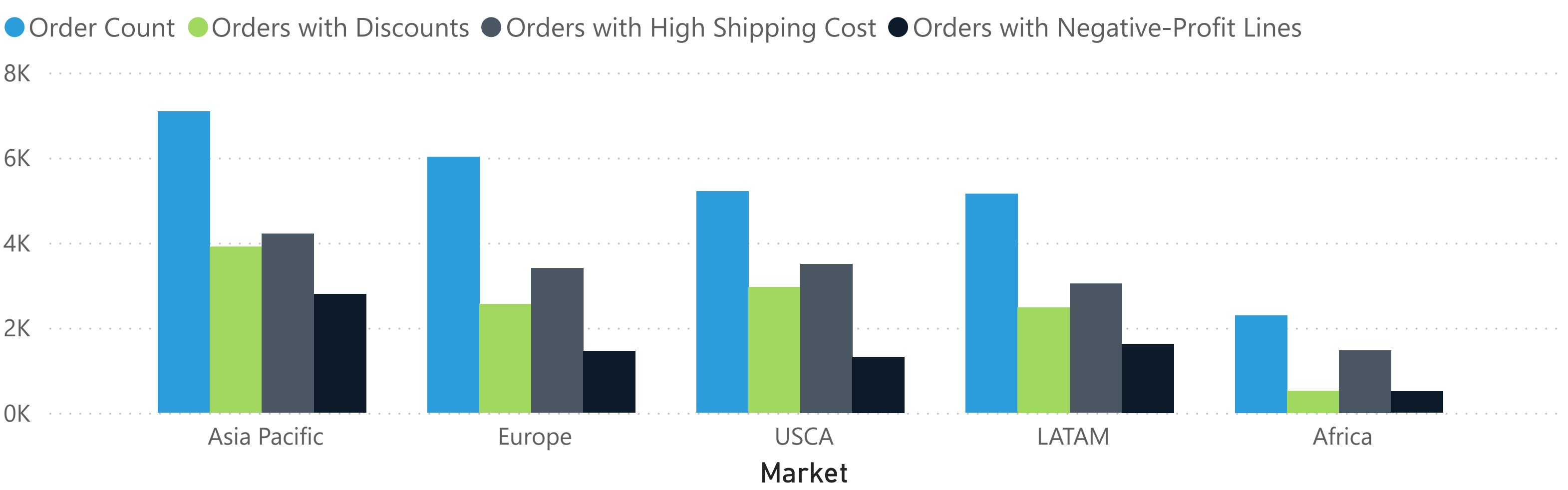
Recommended next steps

1. Establish a clear exception definition
2. Measure the financial value, not only the number of exceptions
3. Improve return traceability
4. Trace exceptions to their operational causes
5. Analyse combinations of exceptions
6. Move from market totals to decision-level detail
7. Review the highest-value cases manually

Revenue on return-affected orders by region



Order exceptions by market



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